

Tempus AI, Inc.
TEM NASDAQ

Hold	\$56.65 ▼ 2.85%	12M Price Target \$62.00	52-Week Range \$41.73 – \$104.32	Market Cap \$10.17B
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TEM: CFO Selling Caps Rally, Policy Crosswinds Loom

WHAT HAPPENED

- Stock pulled back 2.85% on shockingly low volume (1.6M vs 8M+ recent average) — that's not real selling, that's just a quiet pre-holiday tape. The bigger signal: the CFO dumped \$634K of stock on June 25 right at \$55, which means insiders aren't betting on an imminent breakout above \$60.
- The Barchart "make-or-break" headline tells you the chartists see this level as critical — TEM ran from \$52 to \$58 in a week and is now digesting that move. Watch whether \$54 holds.

WHY IT MATTERS

The setup here is mixed in a way that should make you patient. Insiders selling into strength (CFO + board member both at \$55) usually means management thinks fair value is somewhere around here — not that the company is broken, but the easy money from the recent bounce is done. Meanwhile, ARK, BlackRock, and Baillie Gifford all sit on 5%+ stakes, which means any whiff of bad news on AI healthcare regulation could trigger correlated selling across those funds. The real catalyst nobody's pricing in: the administration's posture on Medicare reimbursement for AI-driven diagnostics is still being shaped, and TEM's entire growth story depends on payers (insurance companies and Medicare) saying yes to paying for these tests at scale.

POLICY & POLITICAL WATCH

The big one to watch: CMS (the agency that runs Medicare) is finalizing reimbursement rates for next-gen genomic sequencing and AI-assisted pathology in late 2026 — if rates hold or go up, TEM's testing business gets a tailwind worth hundreds of millions; if they cut, the whole sector resets lower. Separately, there's bipartisan momentum for a "Health AI Transparency Act" that would require validation studies for clinical AI tools — TEM is already running these studies, so it's actually a moat against smaller competitors who can't afford the compliance cost. Watch HHS announcements through July.

IS IT EXPENSIVE?

At \$10.2B market cap on ~\$1.4B forward revenue, investors are paying about \$7 for every \$1 of next year's sales — that's rich for a company still losing money, but not insane for an AI healthcare name growing 30%+. The comparison: profitable diagnostics names like Quest trade at \$2-3 per dollar of revenue, so you're paying a 2-3x premium for the AI growth story. That premium only makes sense if revenue keeps compounding above 30% AND losses narrow — if either breaks, the multiple compresses fast.

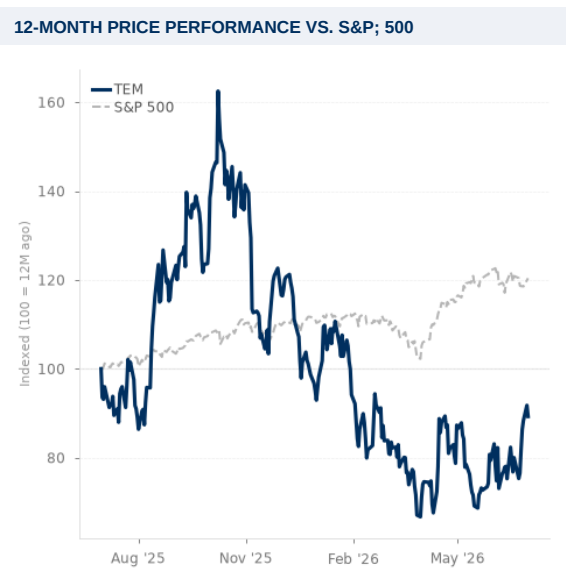
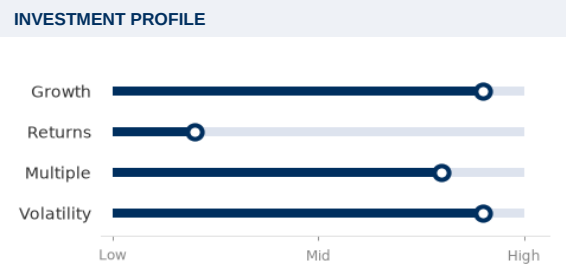
WHAT COULD GO WRONG

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-06-30 14:55 UTC

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Key Data	
Price (USD)	\$56.65
12M Price Target	\$62.00
Upside / (Downside)	+9.4%
Market Cap	\$10.17B
FY2026E Revenue	\$1,380M
FY2027E Revenue	\$1,750M
FY2026E EPS	(\$1.20)
FY2027E EPS	(\$0.65)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$65.00	\$57.00	\$48.00
6 Months	\$78.00	\$62.00	\$42.00
1 Year	\$95.00	\$68.00	\$38.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$125.00	\$22.00
10 Years	\$450.00	\$210.00	\$18.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology broadly (+2.76% on the week) — AI capex is still the dominant theme, and any name with "AI" in the pitch is catching a bid. Industrials are quietly running (+3.59%) on infrastructure spending.

COOLING OFF: Energy (-1.62%) and Financials are flat — defensive money is moving out as risk appetite returns post-Fed clarity.

ROTATION WATCH: Money is rotating back into high-beta AI growth names after the spring correction — TEM benefits from that flow but it's not a leader. The flow is going to mega-cap AI first, then trickles down to mid-caps like TEM.

RELATED PLAY: If you believe the AI-in-healthcare thesis, look at Veeva (VEEV) for the software/data layer or Guardant Health (GH) as a direct competitor that's also wrestling with reimbursement risk.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the picks-and-shovels king of AI — every healthcare AI company including TEM runs on their chips.
- ISRG (Intuitive Surgical): Profitable healthcare-tech showing what TEM could look like at scale — winning because they have actual earnings.

TEM CONTEXT: TEM is lagging the broader AI trade because it's unprofitable and reimbursement-dependent — the market is rewarding profitable AI names right now. That tells me TEM needs a fundamental catalyst (revenue beat, narrowing losses, or favorable CMS news) to break out — it won't just float up on sector tailwinds.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term story but the CFO selling and pending CMS decision keep me from pounding the table here.

POSITION SIZE: 2-4% of portfolio — the upside is real but this stock can drop 20% on a single regulatory headline, so size it accordingly.

ENTRY POINTS: \$48-52 on macro pullback days — chase nothing above \$60 until you see Q3 earnings.

TIME HORIZON: 12-24 months — the key catalyst is the CMS reimbursement decision in late 2026 plus proof that operating losses are narrowing.

WHEN TO BAIL: Revenue growth drops below 25% YoY, CMS announces material reimbursement cuts, or they announce a dilutive capital raise at a discount to market.

HEDGING: Own a profitable diagnostics name like LabCorp alongside this — if regulators get tough on AI healthcare, the boring legacy lab business catches the money rotating out of TEM.